

Regenerative Agriculture: TONY'S CHOCOLONELY

30 NOVEMBER 2020



COMPANY OVERVIEW

“I should be in jail.”

These five words mark the beginning of Tony’s Chocolonely’s entrance into the world of chocolate manufacturing. In 2005, Teun van de Keuken, a Dutch investigative journalist, learned about the pervasiveness of child labor and slavery in the cacao value chain. Seeking to create media exposure and elevate awareness of the issue, he appeared on the Dutch consumer report show ‘Keuringsdienst van Waarde’ and ate 15 chocolate bars on-screen. When he had finished, he declared that he should be arrested for funding child slavery and went so far as to contract a lawyer. Ultimately, after two years of court proceedings, the judge ruled that he was not guilty on the grounds that a conviction would result in all chocolate consumers being sent to jail (Fulleylove, 2020).

Thus, Teun (English translation: Tony) embarked upon the “lonely” journey of combatting modern slavery in the global cacao industry by launching Tony’s Chocolonely. After achieving quick success in the early years, Tony’s has rapidly expanded its operations across Europe and the United States and clinched the position of the top chocolate brand in the Netherlands in 2019 (Fair Trade America, 2020). Through its evolution as a company over the past fifteen years, the mission to end child labor and modern slavery in the chocolate industry has maintained its centrality to the company’s strategy and operations.

The unique business model employed by Tony’s Chocolonely has disrupted the industry and elevated awareness among mainstream consumers of the persistent challenges endemic to the chocolate industry. Tony’s Chocolonely’s annual market growth has proven that an impact-oriented company can be both competitive and successful. With a market share of 19.03% in 2019 in the Netherlands, the company remains a leader in the Dutch chocolate market (Tony’s Chocolonely Annual Report, 2018-2019). In late 2019, Henk Jan Beltman – the company’s Chief Chocolate Officer, his chosen title in place of CEO – announced that Tony’s had made 0% net profit and 100% net impact by investing all of its profits into scaling its operations to further its goal of transforming the global chocolate industry. Paul Schoenmakers, the company’s head of impact, indicated that he was proud of these results and unconcerned by the financials. “For us, money is a means to an end,” he stated. “Most companies think of money as the ultimate goal [...] but the net result for us is the result of our actions, rather than financial goals” (Myers, 2019).

Tony’s Chocolonely has been ranked by Dutch consumers as the most environmentally and socially sustainable brand for two years running, compared to all other Dutch brands showcased in the Sustainable Brand Index (Seignette, 2018). Its commitment to the mission of eliminating slavery in the chocolate industry catapulted the company into global prominence, but its advocacy on behalf of other social justice issues and efforts to accelerate climate change mitigation also underpin the company’s infamy as a justice-seeking brand first and a chocolate manufacturer second.

INDUSTRY ANALYSIS

Industry and Sector Definition

Tony’s Chocolonely operates in the chocolate confectionary manufacturing industry. The industry consists of companies who manufacture and sell a variety of chocolate goods including chocolate bars, boxed chocolate, and novelty chocolates (Marketline Industry Profile, 2015). Chocolate confectionery is a large,

well developed industry with a total market size of \$114.33 Billion in 2019 (Fortune Business Insights, 2020). Overall, it is dominated by six large companies that make up nearly 50% of the total market share (Passport Euromonitor, 2020). In terms of relative size, Tony's market share stands at .1% of the global market share of chocolate confectionery.

Due to its size, the chocolate confectionery industry consists of a wide range of sectors. These are fluid and poorly delineated, often varying within each company's product lines and from one geographic region to another. Within these sectors, the certified cacao sector holds the most direct relevance for Tony's Chocolonely. The certified cacao sector consists of companies and products that are "certified" for either sustainability or fair business practices by a third party or a company's own internal certification system. The level of certification can vary within a company, with some product lines being considered "certified" and others not. For example, in 2017, 35% of Mondelez International's chocolate products were considered certified (Fountain & Huetz-Adams, 2019). With every product that Tony's sells being certified by a third party, they firmly compete within the certified cacao sector.

It is important to note, however, that one of Tony's core values is to fundamentally change the chocolate industry to be 100% slave free. Tony's aims to design and prove business models that could be adopted by the larger, non-certified product lines and manufacturers (Zandee, 2020). With this distinction in mind, it is appropriate to consider Tony's in the context of both the certified cacao subsector and the chocolate confectionery manufacturing industry as a whole.

Sector History, Growth, Drivers, and Trends

Chocolate Confectionery Manufacturing came into its own as an industry towards the middle to late 18th century with the invention of the chocolate bar (Fiegl, 2008). Since then, it has grown to be valued at over \$114.22 Billion and is projected to grow to over \$136 Billion by 2027 (Fortune Business Insights, 2020). The dominant players in the industry are Mars, Mondelez, Ferrero, Nestle, Hershey, and Lindt & Sprungli. Combined, these companies make up nearly 50% of the total chocolate confectionery manufacturing market share.

The growth within the industry is led by two main drivers. The first is chocolate's role in regional festivals and holidays. Tied to major holidays such as Christmas, innovative new varieties of chocolate are driving seasonal sales higher. Second, high growth in Asia-Pacific countries is expected to drive the chocolate market. This comes both from the expansion of population within that region of the world as well as an increasing demand and expenditure on chocolate (Stanisljevic, 2018).

While the chocolate industry is projected to continue to grow, there are several factors that may mitigate its potential. The first is the threat of climate change and crop disease to cacao farmers. In 2018, over 100,000 hectares of cacao forest had to be ripped out due to a disease that affects the roots of the cacao plant (Stanisljevic, 2018). As the effects of global warming continue to grow, this will be an increasing concern within the industry. Additionally, an increasingly health-conscious western world is beginning to shift its snack-food spending away from sugar heavy foods to more health-conscious choices (Fortune Business Insights, 2020). These two forces will factor into the growth and risk within the chocolate industry.

Another key trend in chocolate confectionery is driven by cacao's checkered history. In many ways, the history of chocolate confectionery follows the history of industrialization and colonialism, originating as a native Mayan and Incan medicinal drink, becoming a coveted resource through colonization, and

industrializing into a multi-billion dollar industry today (History of Chocolate, 2017). As with many products that rose from a history of colonization, the production of cacao and chocolate are marred by slavery and exploitation even through the present day. A study by Tulane University and Walk Free Foundation in 2018 found that 9,600 adults and 2,000 children were forced into labor in Cote d'Ivoire. In Ghana, forced labor affected 3,700 adults and 14,000 children (De Buhr & Gordon, 2018). In 2005, growing awareness of slavery in chocolate led to the Harkin-Engel Protocol, designed to reduce slave labor in chocolate by 70% by 2015. As of the Tulane University and Walk Free Foundation report, progress had not reached anywhere near to 70%, making it a real and continuing issue in the industry and one that Tony's has devoted the core of its mission to fix (De Buhr & Gordon, 2018).

As a reaction to the continued exploitation of farmers and the environmental impacts on chocolate, a variety of certification programs have arisen within the chocolate industry, creating a sector of certified chocolate. These certification programs are meant to address the fair treatment of cacao farmers as well as the environmental and economic sustainability of the product. Certifications can be broken into two separate categories: Third Party Certifications and Internal Certification Programs.

To achieve a third-party certification, a company must meet an external, standard-setting organization's criteria for a given product line. Within third-party certifications, three standard-setting organizations make up the bulk of certifications: Fairtrade, Rainforest Alliance/UTZ, and ISO. Each of these organizations focuses on providing farmers with certain protections, although only Fairtrade guarantees a minimum price for cacao (Fountain & Huetz-Adams, 2019).

A second and increasingly popular route to certification is through internal certification programs within an individual company. Major competitors, such as Hershey's, Mars, and Mondelez have transferred to this model. While this push towards certification programs does represent a positive change in company values towards both social and environmental sustainability, there is risk that these internal certifications reduce the reliability and transparency of information about the company's practices (Fountain & Huetz-Adams, 2019). Without third party verification or standards, it could become increasingly difficult to ascertain a company's attempts to truly implement socially and environmentally sustainable practices.

Overview of Key Technologies and Developments

Palm oil was a major innovation in the chocolate industry, allowing companies to replace the more expensive cacao butter to manufacture chocolate more cost effectively. In recent years, concerns over the environmental impact of palm oil has driven companies to seek new alternatives. This has driven innovation into other forms of oils and fats to use in place of palm and cacao butter. Shea butter is currently being explored as a key alternative (Hinrichsen, 2016).

Tony's Chocolonely is serving as an innovator in the certified chocolate industry, specifically driving research and innovation into the traceability of cacao beans all the way to bars. To this end, Tony's recently partnered with Barry-Callebaut, the world's largest cacao processor, to implement a blockchain tracking system for the cacao that ends up being manufactured by Tony's. Within this system, cacao is tracked from the farm level all the way through Barry-Callebaut's processing activities and is then segregated in a separate line for Tony's (Davis, 2019). They hope that this new process will serve as a technological innovation for other, larger players within the industry, allowing for greater traceability of certified chocolate (Zandee, 2020).

Trends, Recent Developments, and Current Status

The most pressing recent development across the chocolate confectionery manufacturing industry is the effects of COVID-19. At the beginning of the pandemic, consumer stockpiling drove unprecedented sales of chocolate confectionery, at times doubling previous year's monthly sales at grocery stores (Fortune Business Insights, 2020). However, as the pandemic has continued, this trend has reversed, and the industry is currently seeing a drop in sales, especially among higher end chocolates.

Another recent trend is the healthier snacking movement is driving higher adoption of lower sugar and lower fat snacks. While this trend could be a threat to the overall chocolate industry, it has also been serving as a source of innovation, with companies increasing sales of dark chocolate and premium chocolates (Irigoyen, 2019).

Within the certified cacao industry, the rise of self-certifications, mergers of the UTZ and Rainforest Alliance certification programs, and the development of the ISO cacao standard have dominated industry headlines. Additionally, recent reports such as the 2018 Cacao Barometer have called into question the true effectiveness of certification programs, arguing that the industry needs to scale significantly to have an associated impact (Fountain & Huetz-Adams, 2019).

Value Chain

The cacao value chain consists of many small farmers at its base who produce the raw product of cacao as seen in Figure 1. As the cacao enters the international market, the market becomes dominated by major players. In the cacao processing industry, over 60% of market share is taken up by four main processors, the largest of which is Barry-Callebaut with 24% market share. As discussed earlier, the manufacturing industry sees nearly 50% of its market share dominated by six companies (Cocoa Study: Structures and Competition, 2008).

The effect of this concentration is to minimize the power that smallholder farmers have as well as to create an asymmetric pricing system. In the cacao value chain, as prices of cacao rise, processors, manufacturers, and retailers increase the price of their product, yet when prices of cacao fall, the price of the end-product does not change. This results in all participants in the value chain benefitting from a reduction in raw good price, except for the farmers (Fountain & Huetz-Adams, 2019).

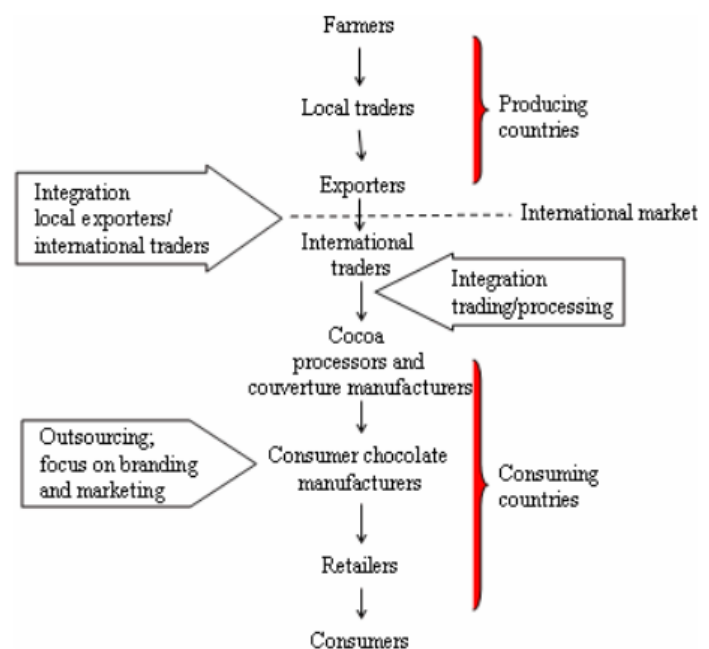


Figure 1: Cacao value chain

Source: *Industry Structures and Competition, 2008*

Farmers, who make up the base of the value chain, often experience significant poverty levels and bear much of the risk of price volatility within the market. This issue is central to the certified cacao subsector, seeking to provide farmers with a fair wage. Through this mechanism, certain certified chocolate manufacturers put pressure back down the value chain and provide additional pay to farmers to help increase their income. It is important to note, that as of 2018, there has been little to no change seen from

these certification efforts on farmer's lives, with some arguing that the scope of the certified cacao sectors efforts have not been nearly enough to influence the scope of the problem (Fountain & Huetz-Adams, 2019).

Porter's Five Forces

Examining Tony's Chocolonely through the lens of Porter's Five Forces, it is important to recognize that Tony's straddles a line within the chocolate confectionery manufacturing industry, participating within the certified cacao sub-sector while attempting to influence the greater industry. Because of this intentional positioning, this analysis of Porter's Five Forces will take into consideration both the larger industry and some of the aspects of the certified chocolate sub-sector.

Threat of Entry. New entrants to chocolate confectionery manufacturing face moderately high barriers of entry from high fixed and capital costs as well as from the benefits of scale. However, small-scale entry into the market is potentially more feasible, focusing on smaller local sales at higher prices (Marketline, 2015).

For certified cacao entrant has an additional entry barrier due to the cost of the certification for the sourced cacao. If the new entrant wishes to obtain Fairtrade certification, they additionally need to pay the Fairtrade premium, increasing the cost of their base good.

While these barriers may be significant to a new entrant to the chocolate confectionery manufacturing industry, a larger manufacturer looking to move into the certified cacao subsector may not experience these challenges as acutely. This strongly raises the threat of new entry for the certified cacao sector.

Buyer Power. Buyer power within the chocolate confectionery manufacturing industry is defined by many different distribution channels such as supermarkets, online sales, and convenience stores. While this variety drives down buyer power, the presence of very large buyers in supermarkets, where the majority of sales are located, increases buyer power within the industry.

Because the profit margin for the largest purchaser of chocolate, grocery stores, is relatively small, there is a moderate degree of price sensitivity. This has a larger effect on certified cacao, as sector prices tend to be higher due to increased sourcing costs.

1 Threat of New Entrants

- Large scale entry has high costs
- Small scale entry very feasible
- High threat in Certified Cocoa from existing companies

2 Bargaining Power of Buyers

- Large and Influential buyers moderated by numerous channels
- Moderate price sensitivity
- Certified Cocoa's higher costs lead to increased buyer power

3 Threat of Substitute Products

- High price competition amongst snack food sector
- Low cost of switching
- Very easy to substitute certified cocoa with non-certified

4 Bargaining Power of Suppliers

- Cocoa processors are highly concentrated
- Processors solely rely on manufacturing industry for revenue
- Cocoa farmers have very little power

5 Rivalry Among Existing Competitors

- Moderately high market concentration
- Low switching costs drives up rivalry
- Difficult to differentiate within Certified Cocoa

Figure 2: Porter's Five Forces Analysis for chocolate confectionery manufacturing

Threat of Substitution. The chocolate confectionery manufacturing industry's products ultimately compete in the snack foods market. There is a strong amount of price competition between snack market foods and the cost of switching is very low. However, customers may view other snack foods as a poor substitute for their chocolate craving. These forces make for a moderate threat of substitution.

Within the certified cacao sector, the threat of substitution is significantly higher due to the ease and price incentive of substituting non-certified chocolate. This adds an additional pressure on the certified cacao subsector, increasing its need to compete on price.

Supplier Power. The most direct supplier of chocolate confectionery manufacturers is the cacao processors. Within this portion of the value chain, four suppliers make up 60% of the market (Oomes et al. 2016). This concentration increases the power of cacao processors. However, since the processors primarily rely on the confectionery manufacturing industry for their main source of revenue, their overall power is moderate.

Another important supplier to note within the industry is the cacao farmer. Because they are often smaller collectives with very little differentiation within their products who sell into a commodity market, their power is drastically limited (Oomes et al., 2016). These forces are primary reasons for the forced labor practices and high levels of poverty for cacao farmers. In large part, it is also these forces that lead to the formation of certified chocolate to combat raise the cacao farmer's quality of life.

One of the key factors that shapes the chocolate industry is the asymmetry of pricing. Often, chocolate manufacturers can pass on an increase in price of cacao to the consumer, however, when the price of cacao decreases, the price to the consumer does not decrease in relation. This leads to manufacturer's retaining more power within the industry and reducing cacao supplier's power.

Rivalry Among Competitors. The chocolate manufacturing industry is split between the major six players that make up 50% of the market share, and many smaller manufacturers that make up the remaining 40%. Because switching costs are low and many products within the industry are relatively undifferentiated, rivalry among competitors is high.

Within the certified cacao sector, rivalry among competitors remains high. With only three primary third party certifiers and the high cost of running an internal certification program, there is very little to differentiate the products, increasing the rivalry within the sector.

STRATEGIC ANALYSIS

Tony's Chocolonely was founded to produce and sell chocolate bars, with the **clear purpose** of making all chocolate 100% slave free across the globe. **Tony's mission** is to reach as many people as possible, as they believe that only "together we'll make 100% slave free chocolate", indicating that this commitment must be made not only by Tony's, but in all chocolate manufacturing worldwide.

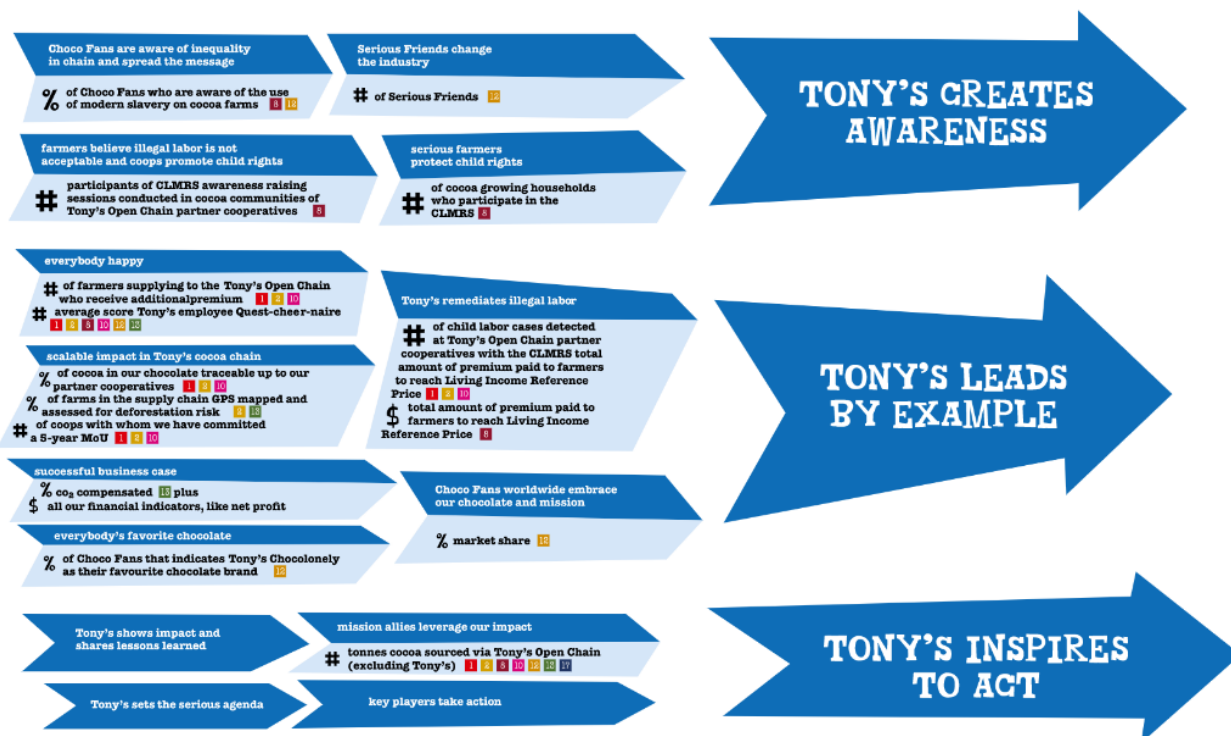


Figure 3: Tony's roadmap to 100% slave-free chocolate

Tony's culture is underpinned by its **four core values**: *outspoken, willful, entrepreneurial, and makes you smile!* The staff's eagerness to "raise the bar" – which, in Tony's lingo denotes striving for ambitious goals and exceeding expectations – is embodied by the company's slogan: "Crazy about chocolate, serious about people". When it refers to people in this context, Tony's means its farmers, suppliers, retailers, consumers, and employees.

Tony's mission has yet to be accomplished, as 100% elimination of slavery is not yet the norm in chocolate production. Tony's cannot guarantee that the cacao it purchases is 100% slave-free (because it does not yet have the capability of monitoring every single farm from which it sources on a continuous basis) and many big players in the industry do not yet adhere to Tony's sourcing practices, but the team has developed roadmap outlining the key steps that must be undertaken to advance the mission broadly and directly (illustrated in Figure 3).

Tony's closely monitors the roadmap throughout the year to stay abreast of its progress and areas for improvement. At the end of each year, auditors from PwC review Tony's financial and impact data and verify the credibility of the figures (Tony's Chocoolonely Annual FAIR Report, 2020).

According to a Forbes interview with Tony's head of impact, Paul Schoenmakers, Tony's Chocoolonely has a sustainability-first strategy and measures its success by its impact in terms of how much chocolate they have sold, how much cacao they have purchased on equal business relations, how many farmers they directly work with, and how much they have paid farmers in terms of premiums above ordinary prices rather than in terms of revenues or profit. According to Schoenmakers, Tony's has a six-pillar strategy summarized below in Figure 4.



Figure 4: Tony's six-pillar strategy

Pillar 1 | Focus on one big problem and raise awareness

The big problem

The first stage of the chocolate value chain is pervaded by child labor and slavery due to the fact that farmers do not receive sufficient payment for their cacao to allow them to live a decent life with their families. Indeed, 2.5 million farms in Ghana and Cote d'Ivoire produce more than 60% of all cacao worldwide. The average cacao farmer in Cote d'Ivoire earns less than \$1 USD per day, which is below the global poverty line. 1.56 million children work on farms in Ghana and Cote d'Ivoire under forced and illegal conditions because their parents do not earn a living income in exchange for their product (Tony's Chocolonely, 2020d). Driven by dissatisfaction and frustration with the social inequality in the chocolate industry, Tony's has made it its mission to eradicate this problem.

Raise awareness among "Choco Fans"

Tony's believes that chocolate consumers and retailers can play an important role in accelerating the accomplishment of their mission by increasing pressure on the other players in the supply chain for sustainably produced chocolate if they are aware of the problem. Therefore, Tony's organizes a variety of activities to educate and sensitize as many chocolate consumers as possible.

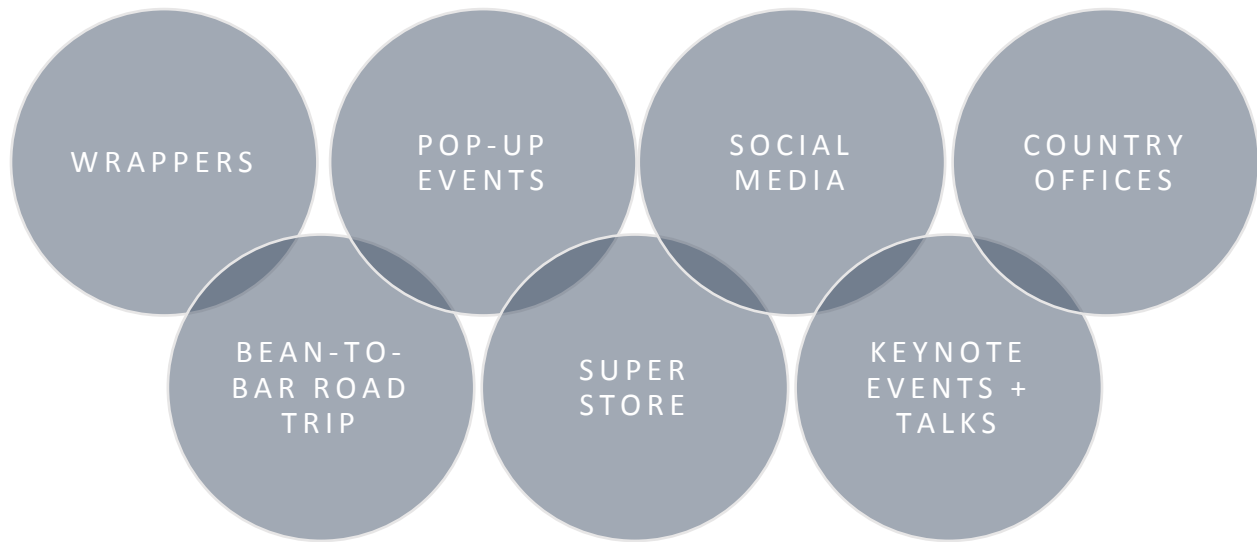


Figure 5: Tony's awareness and education initiatives

Raise awareness among people in cacao-growing communities

Tony's also believes that farmers and cacao communities are key change agents. Farmers must know, understand, and respect the rights of children in their communities. Children can help their parents on the farms, but there are critical boundaries that must be respected. Some tasks, such as heavy lifting, are harmful for children. Children should also have time and capacity to focus on building their education and working on the farms during school hours or during periods of study detracts from this pursuit. The cacao cooperatives with whom Tony's partners can help combat child labor by promoting Tony's awareness and education campaigns.

Pillar 2 | Create and sell a unique product

Tony's offers a variety of chocolates in different shapes and sizes, including large 180g bars, small 50g bars, and tiny bite-sized candies that are presented in eye-catching wrappers engraved with educational messages. The chocolate bars are divided into unequal pieces, serving as a striking reminder that the profits in the chocolate industry are unfairly divided. The bottom edge of their bars represents the Equator and the chunks above represent the Gulf of Guinea. From left to right, the consumer can find Cote d'Ivoire, Ghana, Togo, Benin, Nigeria, and part of Cameroon.

In addition to using its chocolate as a tool to deliver education and raise awareness, Tony's also delivers value to its customers through quality, taste, and entertainment attributes. Moreover, true to its commitment, Tony's chocolate bars are produced with 100% traceable Ghanaian and Ivorian cacao combined with various other unique flavors that captivate the taste buds and leave no bitter aftertaste. 21% of Dutch chocolate consumers say that Tony's is their favorite brand of chocolate (Tony's Chocolonely Annual FAIR Report, 2020).

Pillar 3 | Grow your home market, then globalize

Tony's spent many years growing its market in its home market in the Netherlands, where it opened its headquarters and first store in 2005. More than 53 million euros, or roughly 75% of the company's revenue, came from the Dutch market in 2019 where it is the leading chocolate manufacturer, boasting a market share of 19%. Tony's second largest market is the United States, representing revenues worth roughly one-tenth of that in the Netherlands (Gelder, 2020).

Tony's has also gradually and intentionally built its presence in select European markets, including Belgium, Denmark, Germany, Finland, Sweden, France, and the UK. However, due to its robust e-commerce platform, the company recorded sales in many other countries. Tony's plans to aggressively expand into additional markets in the coming years in order to accelerate the dissemination of its mission and create demand for slave-free chocolate around the globe.

Pillar 4 | Create a platform to help competitors change

Tony's has created a replicable blueprint through its five open sourcing ingredients for slave-free cacao.

1. Full traceability from cacao bean to chocolate bar
2. Payment of premiums to supplying farmers
3. Investment in cacao farming communities via training and cooperative development
4. Cultivation of long-term relationships with supplying farmers to provide market stability
5. Delivery of working capital to enable farm improvements that boost productivity

Tony's makes its sourcing strategy public and well detailed, so it can be replicated by all other companies in the industry – especially the big ones – thus reinforcing Tony's mission to make 100% slave-free chocolate the norm in the whole industry.

To foster the application of these 5 sourcing principles in the industry by the chocolate companies, Tony's launched the open chain initiative which is an open source platform that provides all the knowledge and tools chocolate companies need to work together to end illegal child labor and modern slavery.

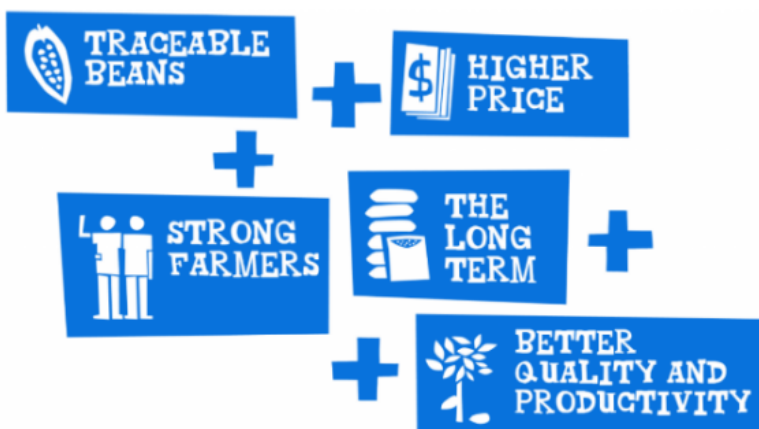


Figure 6: Tony's five open sourcing principles

Pillar 5 | Push for institutional change

Beyond the direct participants in the chocolate manufacturing business, Tony's promotes its mission among a broad spectrum of players who have the power to facilitate change. Specifically, Tony's targets the governments of West African nations from which it sources its cacao, as well as legislators in Europe and the US to push for more rigorous legislation around importing products made by enslaved producers and due diligence in trade efforts. Tony's develops partnerships with companies in diverse sectors that support this cause to maximize its influence and advocacy. Nearly 100,000 "serious friends" and choco fans have already signed the petition created by Tony's that demands governments to hold companies accountable by law for illegal child labor and modern slavery in their supply chains (Tony's petition for 100% responsibility). Also, through its foundation, Tony's funds projects that inspire and activate other key players, including government partners, to cultivate buy-in through any means possible.

Pillar 6 | Raise the bar and inspire

Tony's continuously raises its standards to improve its chocolate bars and inspire others. Tony's has its own cacao butter tank – a key constituent of its chocolate bars – at Barry Callebaut and is now able to fully trace its cacao at every stage of the process, moving from a mass balance sourcing scheme to a segregated approach. Every cacao bean in a Tony's chocolate bar is traceable and has been directly purchased from one of their partner cooperatives in Ghana and Cote d'Ivoire.

Over the years, Tony's has built a team of brand ambassadors who are not only motivated to buy premium tasty chocolates but who also share Tony's values and commitment to the mission. Tony's calls these customers "Serious Friends" and shares a toolbox of resources, educational curricula, and social media kits to enhance their capacity of promoting Tony's and its work in eliminating slavery from the chocolate industry (Tony's Choclonely Annual FAIR Report, 2020).

In addition to its social mission, Tony's also incorporates a suite of environmental sustainability practices into its strategy to ensure alignment to its brand across all dimensions. Perhaps most importantly, it offsets 100% of its Scope 1, 2, and 3 emissions through partnership with JustdiggIt, a nonprofit that "regreens" dry land in Africa with the funds provided through carbon credits. It also utilizes GoodShipping's green freight service to ship its products using biofuels rather than natural gas. These are critical components of Tony's strategy, as climate change disproportionately impacts smallholder farmers, such as its cacao suppliers. A list of Tony's partners to drive forward its social and environmental strategy is contained in Figure 7.

Tony's is also a founding member of the Beyond Chocolate Partnership, a diverse coalition seeking to (i) eliminate child labor



JustdiggIt

JustdiggIt "regreens" dry land in Africa to offset carbon emissions.



GoodShipping

We now transport our sea freight green: on biofuel.



Fairtrade

Together we are helping the cocoa farmers strengthen their position in the supply chain.



ICI

The CLMRS enables us to determine the prevalence of illegal child labor in our supply chain and create lasting solutions.



Soil & More

Together we are helping the ABOCFA cooperative in Ghana and the Kapatchiva cooperative in Ivory Coast improve soil quality.



B Corp

The B Corp certification system helps us take a critical look at ourselves. B Corp standards address a company's social and environmental performance, the impact on employees and customers and whether it is fairly reported to the outside world.



TruePrice

True Price calculates the actual social cost of our bars, factoring in negative social and environmental impacts such as illegal child labor and carbon emissions.



SCOPEinsight

SCOPEinsight analyses the organizational performance of the cooperatives we work with. So, we know what's going well, what needs to be improved and what it will take to achieve this. Fairtrade organizes a personalized training program based on the results.

Figure 7: Tony's social and environmental partners

in the chocolate supply chain, (ii) end deforestation attributed to the expansion of cacao farms, and (iii) provide a living income to smallholder cacao farmers. As a Fairtrade certified company, Tony's believes that the certification is a step in the right direction, but further action is required. Therefore, Tony's partnered with Fairtrade to create a single living income reference price for the industry to enable chocolate companies to better calculate the per-kilo price a cacao farmer should receive to earn a living income.

According to Tony's, certification is a starting point, but the proliferation of certification models makes it harder for consumers to understand what they represent. According to the FAQ section on its website, Tony's believes that "to create a fairer supply chain, companies must go further than certification and take full responsibility. That is why we have developed our five sourcing principles" (Tony's FAQ, 2020).

Tony's also created the Tony's Foundation, which seeks to empower the cacao farmer community and is funded through the proceeds from Tony's chocolate sales, despite being a distinct legal entity from the Tony's business. Tony's donates 1% of its annual net revenue for the activities of the Foundation which finances activities and projects that (i) create conditions that ban slavery; (ii) stimulate consumer awareness; and / or (iii) inspire and activate other key players (governments and companies).

Tony's Chocolonely's Competitors

Tony's competes with a multitude of chocolate companies that produce premium and specialty chocolates throughout Europe and the US. The quality of food in Europe is higher than in the US, therefore there is less opportunity for premium brands to compete, underscoring the immense achievement that Tony's claimed by becoming one of Europe's most trusted and successful chocolate brands. Tony's main competitors across its different presence areas are: Milka, Verkade, Cadbury, Chocolive, Theo, and Alter Eco, as illustrated in Figure 8 (Zandee, 2020).

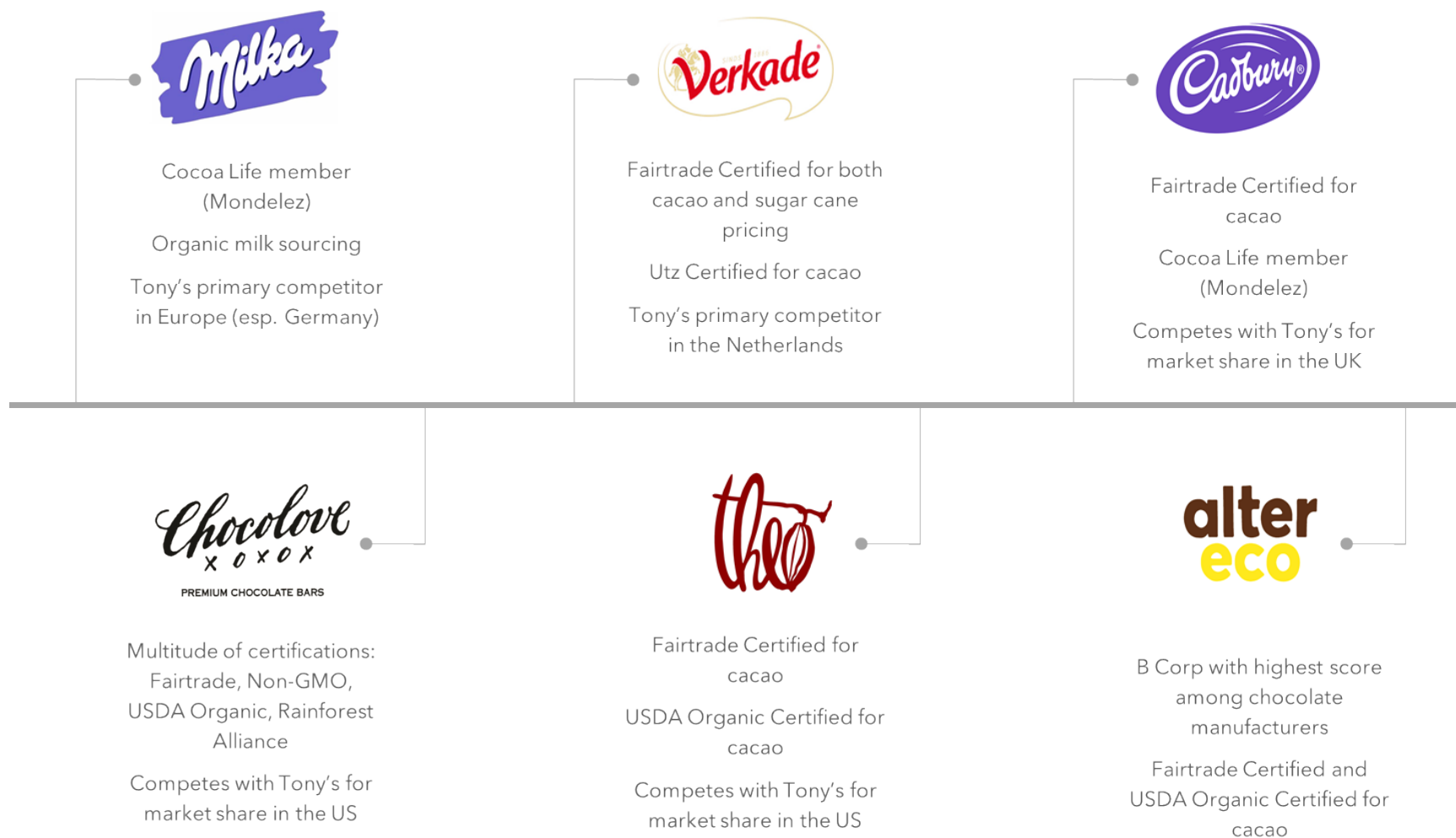


Figure 8: Tony's Chocolonely's competitor landscape

SWOT Analysis



Figure 9: SWOT analysis for Tony's Chocolonely

Tony's Analysis based on the Blue Ocean Strategy Framework

Blue oceans are defined as spaces offering untapped markets, demand creation, and the opportunity for highly profitable growth. Although some blue oceans are created well beyond existing industry boundaries, most are created from within red oceans by expanding existing industry boundaries. In blue oceans, competition is irrelevant because the rules of the game are yet to be established (Kim & Mauborgne, 2015).

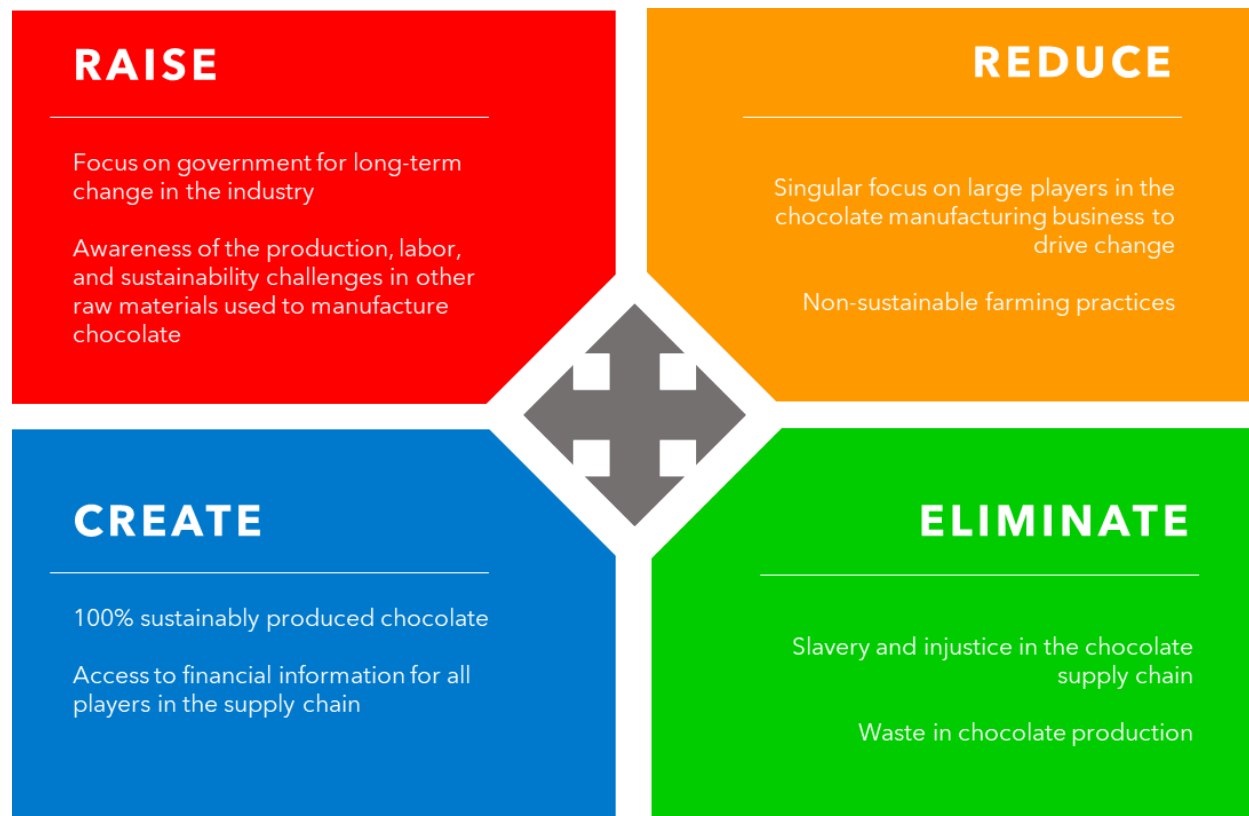


Figure 10: Blue ocean Eliminate-Create-Raise-Reduce grid

The strategy developed by Tony's can be classified as a blue ocean strategy as it expands the existing boundaries of the chocolate industry with no focus on its ability to compete. As mentioned above, Tony's measures its success by its impact, rather than its profitability. Rather than seeking to create a sustained competitive advantage, Tony's created a shareable, open-sourced strategy that can be applied by all its competitors to change the nature of the industry. Given its approach, Tony's blue ocean idea inherently seeks to relinquish its competitive advantage and create a red ocean where one did not previously exist in order to better the livelihoods of the most vulnerable and under-represented players in the industry: the cacao farmers.

IMPACT ANALYSIS

"Tony's is an impact company," says Paul Schoenmakers, the company's head of impact (Kraaijenbrink, 2019). Social impact is central to Tony's mission, vision, and values outlined in the previous section. In practicing a purpose-driven business model, Tony's ensures that every business decision is grounded in

the pursuit of a more equitable chocolate industry, an ethos which helped it achieve Fairtrade certification and B Corp certification in 2013. This relentless emphasis on the sustainability of its operations represents a departure from the traditional chocolate business; rather than measuring its success in revenues, Tony's tracks and promotes its progress on indicators of impact, including volumes of fairly sourced cacao, partnerships with origin cooperatives, and premium payments made to farmers, among others.

Mission Possible: Ending Modern Slavery in the Chocolate Business

Tony's primary purpose is to eradicate all forms of slavery in the chocolate industry. This vision guides all of the company's operations and informs its sourcing strategy, known as **Bean-to-Bar**.

In 2012, Tony's launched its Bean-to-Bar sourcing strategy by conducting field research to identify the root causes for the rampant use of slavery practices among cacao farmers (Blom et al, 2015). This study revealed three key drivers, which serve as the foundational basis for Tony's theory of change:

- i. **Poverty creates the incentive for cheap labor.** With more than two-thirds of African cacao farmers living below the global poverty line of \$1.90 per day (World Cocoa Foundation, 2019) most farmers are unable to gainfully employ farmworkers to support their small enterprises. Instead, they employ their children or other community members through coercion or other practices that fall under the banner of modern slavery.
- ii. **It is extremely challenging to overcome conditions of entrenched poverty.** The interrelated issues of inaccessible education, poor infrastructure, healthcare disparities, and susceptibility to climate shocks render low-income farmers largely unequipped to overcome the high barriers to exiting the continuous cycle of poverty.
- iii. **Cacao farmers widely perceive slavery as permissible and necessary.** There is low awareness among farmer groups about the rights of women and children due to insufficient regulation or enforcement of laws at the local and the global level.

Additionally, the Tony's team examined the industry to determine whether other players had reached similar conclusions or activated strategies to address the issue of slavery in their own supply chains. They learned that some of the largest chocolate processing and manufacturing companies in the world, such as Nestle and Mars, had corporate social responsibility initiatives related to their cacao sourcing, but they were overwhelmingly focused on the security of their cacao supply, rather than explicitly targeting efforts to improve farmer livelihoods (Blom et al, 2015).

Armed with this information, Tony's launched its open-source platform in 2018, known as **Tony's Open Chain**, which is based upon the five sourcing principles outlined in Figure 6 (5 Sourcing Principles, 2018).

- i. **Traceable beans.** The company requires full traceability across every segment of its value chain, from cacao bean to chocolate bar. Tony's tracks every step of its cacao bean sourcing through a digital traceability platform known as Tony's Beantracker, while complementarily utilizing the Child Labor Monitoring and Remediation System (CLMRS) to trace social data on illegal and child labor within its sourcing regions.
- ii. **Higher prices.** The company delivers additional premiums to farmers based on their compliance with social standards, rather than exclusively based on the quality of the supply.

- iii. **Invest in farmers.** The company seeks to support the training and development of strong cooperatives in order to strengthen and scale their operations while simultaneously building trusting relationships with its supplying farmers.
- iv. **Long-term relationships.** The company engages in contracts with farmers for a minimum of five years in order to deliver market stability to the farmers who can create financial plans and make investments in their farms, families, and communities.
- v. **Improved productivity.** The company facilitates access to working capital to enable farm improvements that boost productivity, such as investments in better fertilizer or treen pruning tools.

Theory of Change: Poverty Begets Slavery

By spending time on the ground with representatives from farmer cooperatives, Tony's gained a clear understanding of the location within the supply chain at which its intervention would yield the greatest strides toward accomplishing its mission of eliminating slavery in the chocolate industry: tackling poverty. Their theory of change invokes a logical framework whereby poverty is the underpinning condition which enables and encourages use of slave labor in the cacao industry. Tony's posits that disruption of the system of entrenched poverty is the key to unlocking fair, slave-free cacao production. It sees its role as the deliverer of pathways out of poverty through payment of premiums in line with its living income reference price.

Tony's partnered with Fairtrade to develop and deploy a model to calculate the price required to lift cacao farmers above the threshold of poverty, which became known as the *Living Income model* (Figure 11) (Veldhuyzen, 2020). This equation was built upon insights derived from existing research and benchmarks coupled with their own insights gleaned from cacao farmers. The Living Income model leverages a holistic perspective which recognizes that livable incomes cannot be achieved unless productivity improvements, diversification of income streams, and higher payments for cacao sales are not synergistically addressed.

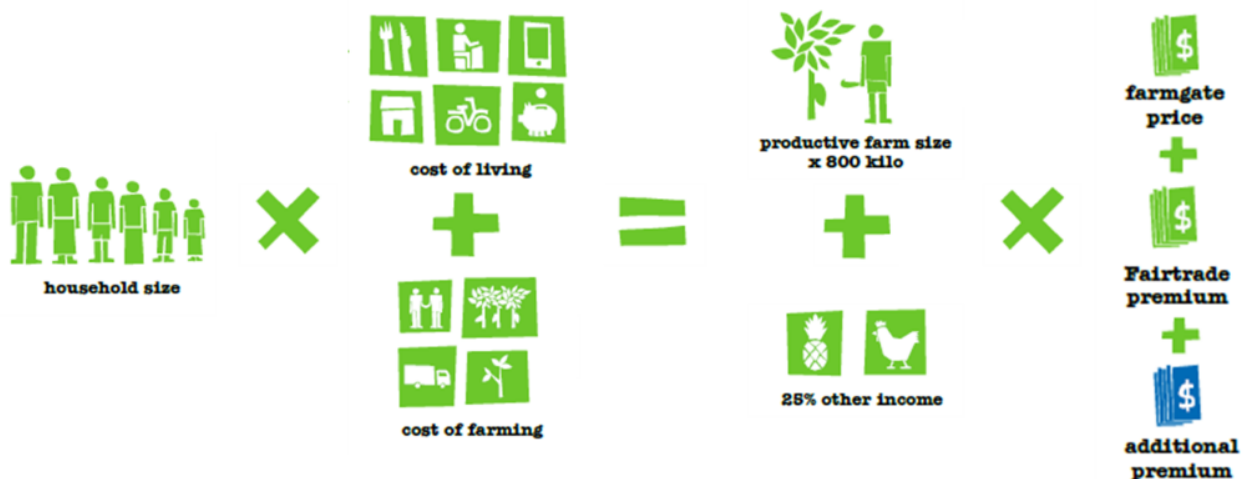


Figure 11: The Living Income model for cacao farmers

As shown in Figure 11, the Living Income model is a function of a given sourcing region's average household size, cost of living, cost of farming, farm size, and other sources of income (Tony's Chocolonely Annual FAIR Report, 2020).



Figure 12: Tony's primary alignment with the Sustainable Development Goals

Some criticism has been wielded against Tony's laser focus on poverty as the requisite lever for driving change in the slavery practices of the cacao industry (Owens, 2020). Poverty is not a standalone issue and must be addressed as one factor in the constellation of other related issues. Thus, in its relationship-building exercises with its partner cooperatives, Tony's began encouraging its sourcing origin communities to invest portions of the premiums in local healthcare networks, schools, sanitation infrastructure, and women's professional training. However, Tony's believes strongly in the autonomy and dignity of its farmers and does not mandate that its payments be used in specific ways, ultimately empowering the farmers to make the right decisions for themselves. Indirectly, Tony's seeks to support progress toward additional sustainable development goals which intersect with the issues of poverty and modern slavery.

Social Impact through the Chocolate Ecosystem

Level One | Farmers and Partner Cooperatives

Central to its mission, Tony's commits to identify and investigate every incident of forced or child labor among its seven partner cooperatives by leveraging tools such as the CLMRS. Due to the persistent, systematic usage of forced labor in the industry, Tony's knows that it cannot guarantee that its supply chain is 100% slave-free; in fact, in 2019, it uncovered 259 cases of illegal child labor in its supply chain and has pursued action to resolve these cases with its partner cooperatives (Tony's Chocolonely Annual FAIR Report, 2020). Rather than choosing the easy path – such as sourcing from origins where slavery is less prevalent or establishing its own exclusive plantations – Tony's chooses to engage in the flawed mainstream industry in order to catalyze broad-stroke reform.

Pursuant to its theory of change, Tony's has made significant strides in tackling the issue of poverty as a means of reducing the prevalence of slave labor in its supply chain. True Price, an evaluator of the externality costs of consumer products, conducted an assessment of Tony's sourcing practices compared to the cacao industry benchmark in Cote d'Ivoire during the 2017 harvest season and determined that the average income of Ivorian households growing and supplying cacao to Tony's was nearly double the

income of comparable cacao-growing households that do not supply to Tony's (True Price, 2018). Additionally, the households from which Tony's sources its cacao exceed the living income threshold.

Level Two | Big Chocolate Industry

Tony's seeks to disrupt the chocolate business and rewrite the rules of the industry. Given that Tony's was born from a journalist's exposé of the rampant use of slavery in cacao production, the company is committed to dismantling all systems that enable and incentivize the continued usage of slavery practices in the industry. To act on this commitment, Tony's plays a leading role in advocating for legislation, building inter-company coalitions, and building cross-industry partnerships with NGOs, academia, and other stakeholders to drive innovation.

Its advocacy is inextricable from its growth strategy. By capturing greater market share and increasing its global operations, Tony's can influence other companies to adopt better sourcing practices and governments to enforce more stringent regulations. In fact, according to Peter Zandee, head of US market expansion, "Our model, in principle, should be used by the big chocolate companies. Nestle's and Hershey's volumes are so huge that it won't be possible to accomplish overnight, but over time it is possible. Everything we do must mimic what the big chocolate players do so that our blueprint can be replicable" (Zandee, 2020).

In 2018, Tony's influenced Albert Heijn, the largest Dutch supermarket chain, to utilize Tony's Open Chain and adopt the five sourcing principles for its own line of chocolate, thereby securing Tony's first fully attributable impact on the chocolate industry at-large (Rushe, 2018). To date, Albert Heijn remains Tony's only "mission ally", which Tony's believes represents the real challenge of convincing businesses to pay the living income reference price (Tony's Chocolonely Annual FAIR Report, 2020). While no other companies have formally adopted Tony's Open Chain across all cacao products, Tony's influence has still created inroads among other companies to adopt better sourcing practices and transparency protocols. For example, Barry Callebaut's operations within Tony's supply chain is entirely compliant with the five sourcing practices. Other companies, such as Ben and Jerry's, cite Tony's as a motivator for pursuing Fairtrade and other certifications of ethical behavior within the chocolate industry.



Figure 14: Tony's Open Chain logo showcased on Albert Heijn chocolate bar

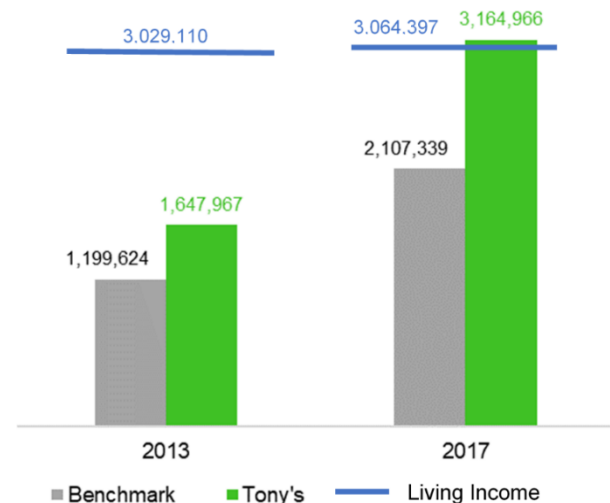


Figure 13: Income on average Ivorian farm, XOF per farm per year

Level Three | Government and Regulation

Tony's recognizes its corporate political responsibility and the monumental role that legislative bodies play in facilitating – or blocking – greater integration of justice and equity into the cacao supply chain. “The biggest problem that needs to be addressed is not in Africa, it’s in the West: getting companies to put basic children’s rights before profit. That should not be a matter of choice for companies,” says Paul Schoenmakers. “We need human rights legislation that holds companies accountable for abuse in their supply chain” (Confectionary Production, 2020). In its annual FAIR report, Tony's outlines some of its government-influencing activities from the past year (Tony's Chocolonely Annual FAIR Report, 2020):

- In the US, Tony's is supporting an initiative championed by two senators to instruct Customs and Border Patrol to block all cacao products made with illegal child labor from entry into the US.
- In the Netherlands, Tony's lobbied for the passage of the Illegal Child Labor Due Diligence Act, which was approved by both the Upper and Lower Houses this year.
- In the European Union, Tony's has opened up conversations with the European Convention on Human Rights and Fundamental Freedoms to push for legislation across the continent to combat illegal child labor and modern slavery. While no regulation was enacted this year, Tony's plans to continue its efforts until change is achieved.
- Tony's endorsed the Ghanaian and Ivorian governments' recent introduction of a living differential policy to seek a buying premium of \$400 extra per ton from manufacturers, which will be directly redistributed among the farmers (Wallace, 2019).

Level Four | Chocolate Consumers

Tony's believes in the power of education to drive change in the chocolate industry. A key element of its strategy is to raise awareness among the segment of its business that holds critical power: chocolate consumers. By equipping chocolate consumers with knowledge about how cacao is produced and the prevalence of modern slavery in its cultivation, Tony's hopes to build a force of champions beyond its own four walls to advocate for change through their voices and their dollars.

To build up this global team, which Tony's proudly refers to as “Serious Friends”, Tony's activated a suite of outreach strategies throughout 2019. These campaigns included (Tony's Chocolonely Annual FAIR Report, 2020):

- Traveling to 27 cities across the US hosting pop-up events, reaching an estimated 334,000 people
- Hosting a series of “Free Chocolate Experience” events in the UK and Sweden, renewing interest and loyalty among these customer segments
- Expanding and deepening presence in new markets in London, Germany, and France
- Launching social media campaigns, including a 30-day Instagram challenge in Germany and a digitized expo called “Reframed”, which promoted portraits of many of Tony's supplying farmers in a way that underscored their dignity and equality as humans

Level Five | Tony's Employees

Tony's deeply values its own staff in exchange for mission alignment and dedication. Almost 10% of its workforce is on the social impact team, which is not directly tied to revenue generation or business

development activities, underscoring the high prioritization of Tony's social mission to its business (Zandee, 2020). The deep integration of its values into its ethos as a company supports both talent acquisition and retention, enabling higher level impact due to improved motivation, productivity, and engagement.

According to Peter Zandee, diversity, equity, and inclusion are important in Tony's talent development and management function (Zandee, 2020). There are multiple feedback delivery pathways and opportunities to discuss challenges across the company, which people do utilize. For example, during the uptick in momentum of the Black Lives Matter movement in mid-2020, Tony's staff encouraged leadership to make a statement and incisively condemn white supremacy. Despite its consistently progressive views, Tony's must work toward greater inclusion of diverse identities across the company, but particularly in positions of leadership. Currently, approximately 53% of its employees are women, but only 10% identify as non-white. The top leadership team and the four members of the board skew more male and white than the rest of the company (Team Tony's, 2020).

Beyond Slavery

In addition to its efforts to eliminate modern slavery from the chocolate industry through its own internal operations and through its industry-wide influence and advocacy, Tony's also seeks to create impact across environmental dimensions of its business.

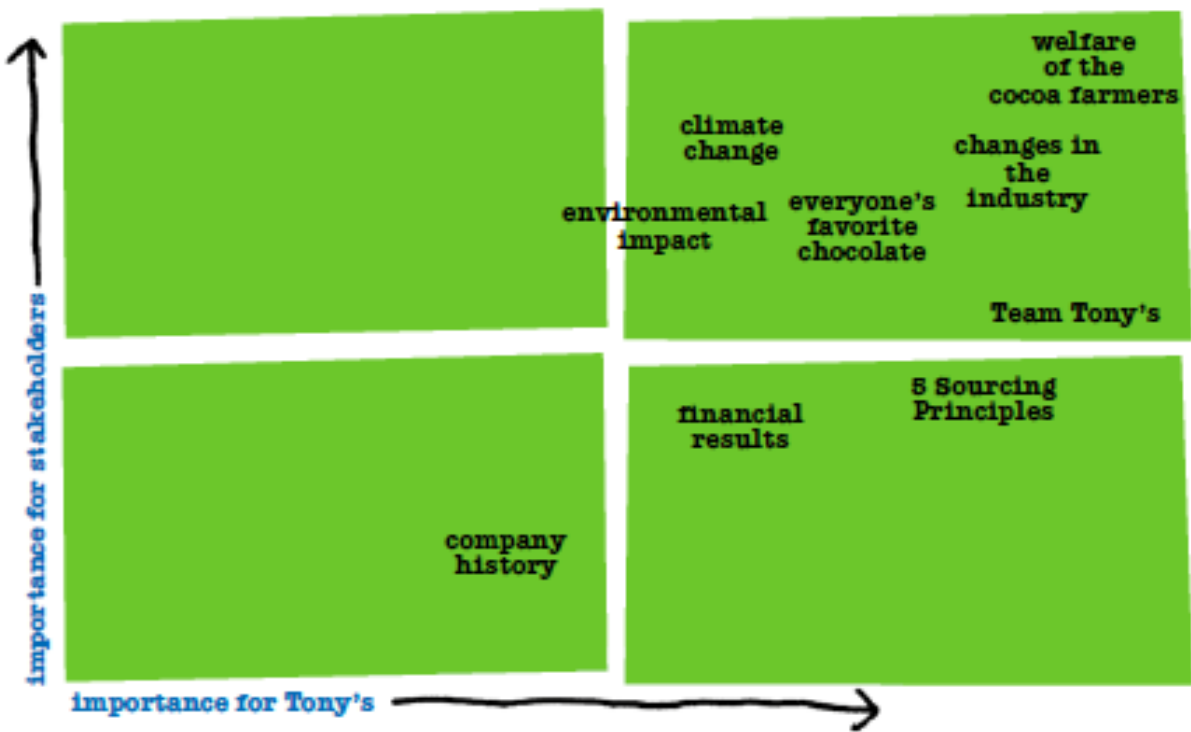


Figure 15: Tony's materiality matrix

Environmentally, Tony's understands the relationship between the health and climate resilience of the cacao farms from which it sources and its own long-term solvability. In 2019, it conducted a carbon emissions mapping exercise and determined that its supply chain from bean to bar created 18,488 tons of carbon dioxide equivalent, which is roughly 3.19 units of carbon dioxide emitted per unit of chocolate

produced – about 7% lower than industry average (Tony's Chocolonely, 2020b; Harris et al, 2015). This is due in part to Tony's participation in the GoodShipping Program, which aims to transform the shipping industry by replacing fossil fuels with biofuels (GoodFuels, 2018). In 2019, Tony's prevented 43 tons of carbon dioxide equivalent from being emitted through participation in this program. Additionally, Tony's paid to offset 78% of its total emissions in 2019 to Justdiggitt, an international NGO seeking to re-green African dry lands through tree-planting. To date, Tony's has paid Justdiggitt to green approximately 190 hectares in Kuku, Kenya (Tony's Chocolonely, 2020b). Finally, Tony's products are wrapped in Forest Stewardship Council-certified paper which is recycled and uncoated (Frequently Asked Questions, 2020).

While Tony's has set the target to become 100% carbon neutral in 2020, there is certainly room for improvement regarding the rigor of the company's environmental impact. "Sustainability is important to us, but ultimately it is secondary," says Peter Zandee, indicating that the company's social mission to address the industry's slavery problem will always take priority until it is fully resolved (Zandee, 2020). Of course, as shown in Figure 16 these issues remain materially important to Tony's, so the company will continue to innovate solutions to address them (Tony's Chocolonely Annual FAIR Report, 2020).

FINANCIAL ANALYSIS + ALTERNATIVE METRICS OF SUCCESS

Since its founding in 2005, Tony's Chocolonely has grown steadily year over year to become a €69 million company. While it is not a publicly traded company, Tony's releases partial annual financial reports each year, allowing for an analysis of its financial and success indicators. Overall, Tony's has delivered strong year over year growth while maintaining slightly under industry average profit margins. This underperformance can largely be explained by Tony's exceptional commitment to devoting money to impact programs such as Fairtrade and the Tony's Premium. While most of the picture is positive, one area of concern for Tony's is its high level of short-term debt. Overall, much of Tony's financials present a positive picture of a company set up for continued growth.

	2014/2015	2015/2016	2016/2017	2017/2018	2018/2019
Annual Revenue	€ 17,621,473.00	€ 29,308,706.00	€ 44,924,181.00	€ 55,051,839.00	€ 69,619,907.00
Change in Annual Revenue	82.62%	66.32%	53.28%	22.54%	26.46%
Net Income	€ 729,421.00	€ 1,445,207.00	€ 2,717,291.00	€ 2,461,358.00	€ 2,656.00
Change in Net Income	225.47%	98.13%	88.02%	-9.42%	-99.89%

Figure 16: Tony's Chocolonely Annual Revenue and Net Income

Tony's Chocolonely's Growth

As seen in Figure 16, over the past five years, Tony's has grown from €17 million in revenue to nearly €70 million, a growth achievement of nearly 400%. While this overall growth is positive, the rate of growth in revenue has begun to slow in 2017/18 and 2018/19, decreasing to an average of 25% year over year. In addition, the past two years have seen a strong decrease in Net Income and Profit Margin for Tony's with a nearly 100% decrease in 2018/19 (Figure 17).

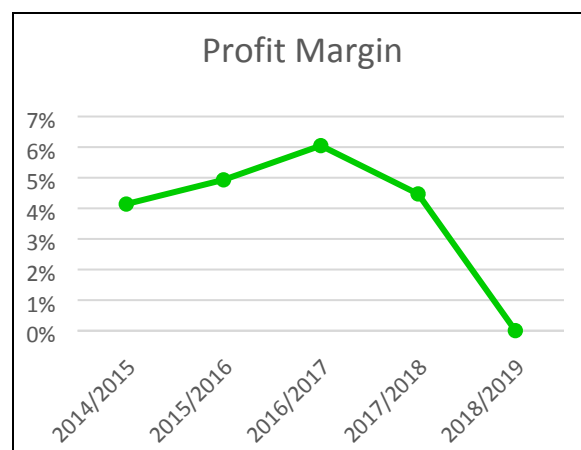
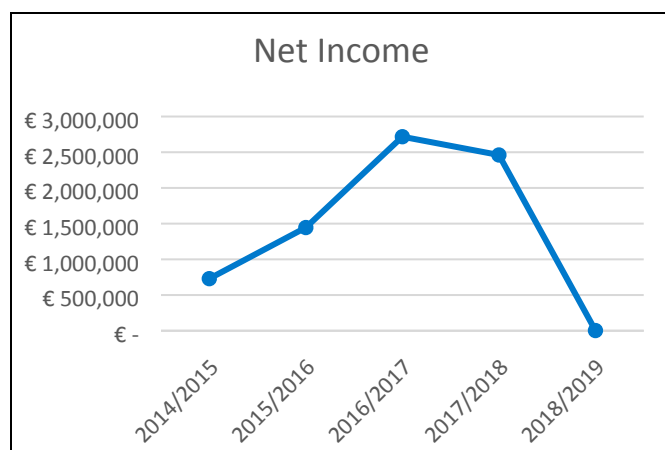


Figure 17: Tony's Net Income and Profit Margin from 2014-2019

While for many companies the drop in profit margin may be a major sign of concern, it is important to

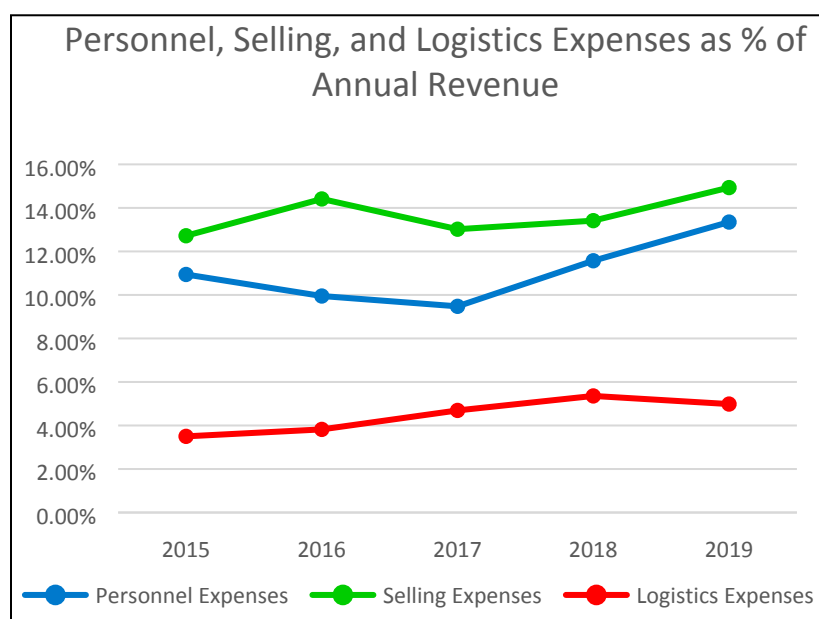


Figure 18: Selected Operating Expenses as % of Annual Revenue

recognize that Tony's has a strong growth focus, especially internationally. According to the Tony's Annual Report, 2018/19 was a year for strong investments in both United Kingdom and United States teams as well as in their new headquarters, the Tony's Chocolonely Chocolate Circus (Tony's Chocolonely, 2019). As seen in Figure 18, these investments are represented by the increased proportion of personnel, selling, and logistics expenses as a portion of total sales. These increased expenses along with missed revenue growth targets contributed to Tony's 0% Profit margin in 2018/19.

Tony's Chocolonely's Impact Costs

	2014/2015	2015/2016	2016/2017	2017/2018	2018/2019
Annual Revenue	€ 17,621,473.00	€ 29,308,706.00	€ 44,924,181.00	€ 55,051,839.00	€ 69,619,907.00
Total Impact Contributions	€ 775,404.96	€ 1,203,391.00	€ 2,201,257.00	€ 2,638,653.00	€ 4,007,181.00
Impact Costs Growth	155.65%	55.20%	82.92%	19.87%	51.86%
Impact Costs as % of Annual Revenue	4.40%	4.11%	4.90%	4.79%	5.76%

Figure 19: Tony's Impact Costs from 2014-2019

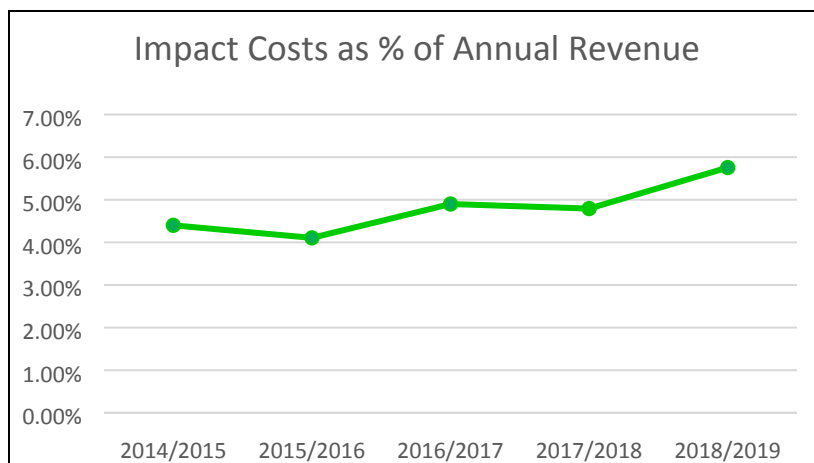


Figure 20: Impact Costs % of Annual Revenue

In addition to the strong growth focus, Tony's high level of commitment to societal issues serves to reduce Tony's profit margin. As discussed previously, Tony's is first and foremost a Social Enterprise, seeking to deliver societal impacts first. To that end, Tony' separates out what it calls their "Impact Costs" in their financials. These costs consist of the license fee that Tony's pays to be a part of the Fairtrade Certification program, the Fairtrade premium that is given to farmers on top of the normal price

of cacao, Tony's own premium that is given to farmers to bring their wages to the local cost of living, as well as other contributions to their foundation and impact projects. In 2018/19 these contributions made up 5.76% of net sales, an increase of 20% over 2017/18. As can be seen in Figures 19 and 20, Tony's has made significant and growing contributions to its Impact Costs.

Points of Concern for Tony's

Beyond the dip in profit margin, Tony's exhibits several points of concern, including its high levels of Debt to Equity and decreasing Times Interest Earned (see Figure 21). From the very high Debt to Equity ratio, it becomes apparent that Tony's has funded much of its operations through debt and through the times interest earned, its ability to pay it off is lessening. According to Peter Zandee, US Sales Director at Tony's Chocolonely, this was an intentional decision to not pursue investors at the early stages of Tony's growth in order to build and have control over the company's business model (2020). Regardless, Tony's decreasing Times Interest Earned and the fact that its current ratio has dropped below 1.0, mark a concern for the solvency of the company in the short term. This is backed up by Tony's annual report stating that the company received a waiver and extension of terms from their bank for underperforming EBITDA numbers. According to the interview with Peter Zandee, the trend of debt financing may be changing in the next several years, and movement in that space is addressed under "Key Success Factors" in this report.

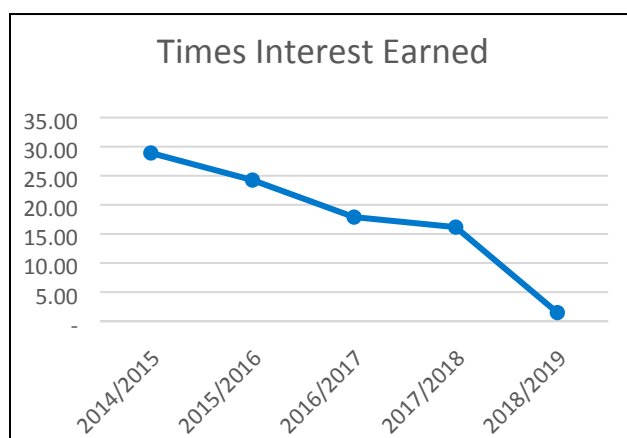
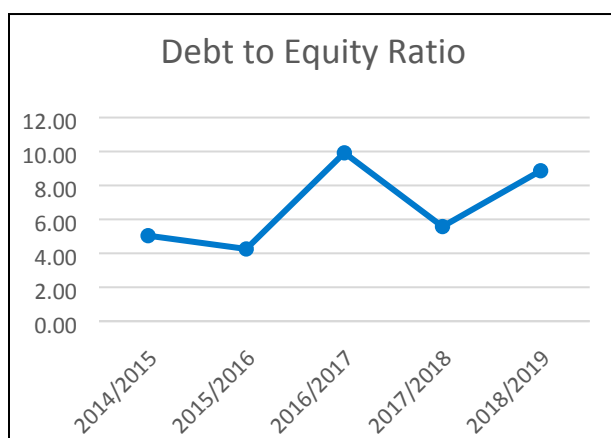


Figure 21: Tony's Debt to Equity and Times Interest Earned from 2014-2019

Tony's Comparison to Key Industry Players

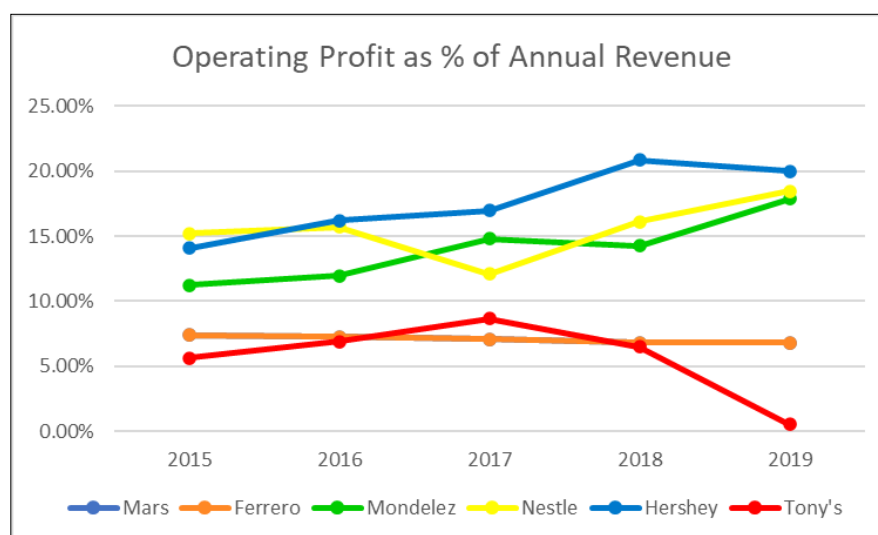


Figure 22: Tony's and key industry players' operating profit as % of annual revenue (data from Irigoyen, 2019)

Tony's ultimate goal in business is to make the cacao industry 100% slave free. As such, Tony's utilizes business practices that can ultimately be adopted by larger industry players. Additionally, many of Tony's smaller competitors, such as Theo Chocolate, Chocolove, Verkade, and AlterEco do not publish financial information. Therefore, it is reasonable to compare Tony's to those larger competitors that they are trying to influence.

The overall profit margin for the chocolate manufacturing industry is 6.8% (Irigoyen, 2019). With the exception of 2018-19, Tony's profit margin has been only a few percentage points off of this average. If Tony's Impact costs were to be added back to their profit margin, they would exceed the industry's margin substantially. As can be seen from Figure 22, Tony's Operating Profit as a percentage of annual revenue also is mostly in line with the largest players in the industry, especially those players that have a more exclusive focus on chocolate manufacturing, like Mars and Ferrero. The competitiveness of Tony's financials to its competitors shows the viability of Tony's model for adoption by larger players.

Alternative Measures of Success

Despite some of the worrying signs from the 2018/19 drop in profit margin and high ratio of current liabilities, Tony's other indicators of success point to continued growth and success. The first evidence of this comes from a conversation with Peter Zandee. In our conversation with him, Peter mentioned that for the first time, Tony's has taken on investors during the 2019/2020 fiscal year. He anticipates that this will help the company overcome some of its growing pains, alleviate some of its debt, and continue to be an influence within the industry. This report does not cover the 2019/2020 financial report as it has not been released yet.

In addition to financial figures, Tony's has been successful on some of its other key performance indicators that have the potential to impact its future. According to Tony's 2018-19 audited impact report, Tony's has obtained 18.8% market share in the Netherlands, with 21% of self-identified chocolate fans indicating that Tony's is their favorite brand, and 71% indicating knowledge about modern slavery in the cacao supply chain (2020). These figures will allow Tony's to expand its reach within the Netherlands and indicate potential future success in other countries.

Another strong indicator of success comes from Tony's strong and innovative partnerships within the chocolate confectionery manufacturing industry. One example of this is Tony's partnership with Barry-Callebaut, where Tony's maintains its own cacao processing line (Barry-Callebaut. 2016). This separated processing line serves to process Tony's 1,500 tons of open chain purchased cacao. According to Tony's audited impact report, this coca was 100% traceable to Tony's partner cooperatives, helping to ensure a clean supply chain (Tony's 2020). These first of its kind partnerships not only deepens Tony's relationship with a key part of its supply chain, but it also serves to provide a directly replicable business practice that other companies can adopt. Tony's has also been growing and building relationships among competitors to join its traceable cacao chain and develop its blockchain tracking system (Barry-Callebaut, 2018). Among the companies to join Tony's is the manufacturer Delicata and Dutch retailer Albert Heijn. These two factors are key to Tony's social and business goals.

In addition to bringing on investors and building partnerships, Tony's has also been a key sponsor of research on the economics and societal factors involved in cacao farming. By working with universities, government agencies, and consultants, Tony's has been able to sponsor key research on the plight of the cacao farmers. The initial round of these reports showed that the scale of the problem for cacao farmers was not being matched by the scale of the efforts to support them. This finding provides strong support for Tony's continued mission and these reports will help Tony's determine whether its efforts are being successful as more partners join.

Overall, Tony's Chocolonely is an up and coming company in the chocolate confectionery manufacturing industry who is currently investing heavily in growth and social impact. While there are some worrying indicators within its financial reports, such as its drop in profit margin and heavy reliance on debt, there are also strong indicators of future success such as Tony's innovative partnerships, new investors, and strong societal value differentiator. If Tony's can leverage those strengths within the bounds of their industry, they should be able to continue their strong growth trend.

RECOMMENDATIONS AND CONCLUSION

Assessment of Tony's Brand Positioning and Performance

Tony's Chocolonely is a company to watch. They have brilliantly stepped into white space within the chocolate manufacturing industry by building their vision, strategy, and marketing around a singular theme: ending slavery in the cacao supply chain. Its positioning as a social changemaker that happens to make chocolate – rather than a chocolate manufacturer that happens to advocate for social justice – differentiates it from all of its competitors, including the “Big Chocolate” industry as well as the other premium, specialty, and Fairtrade markets. Figure 23 illustrates Tony's current position relative to its competitors.

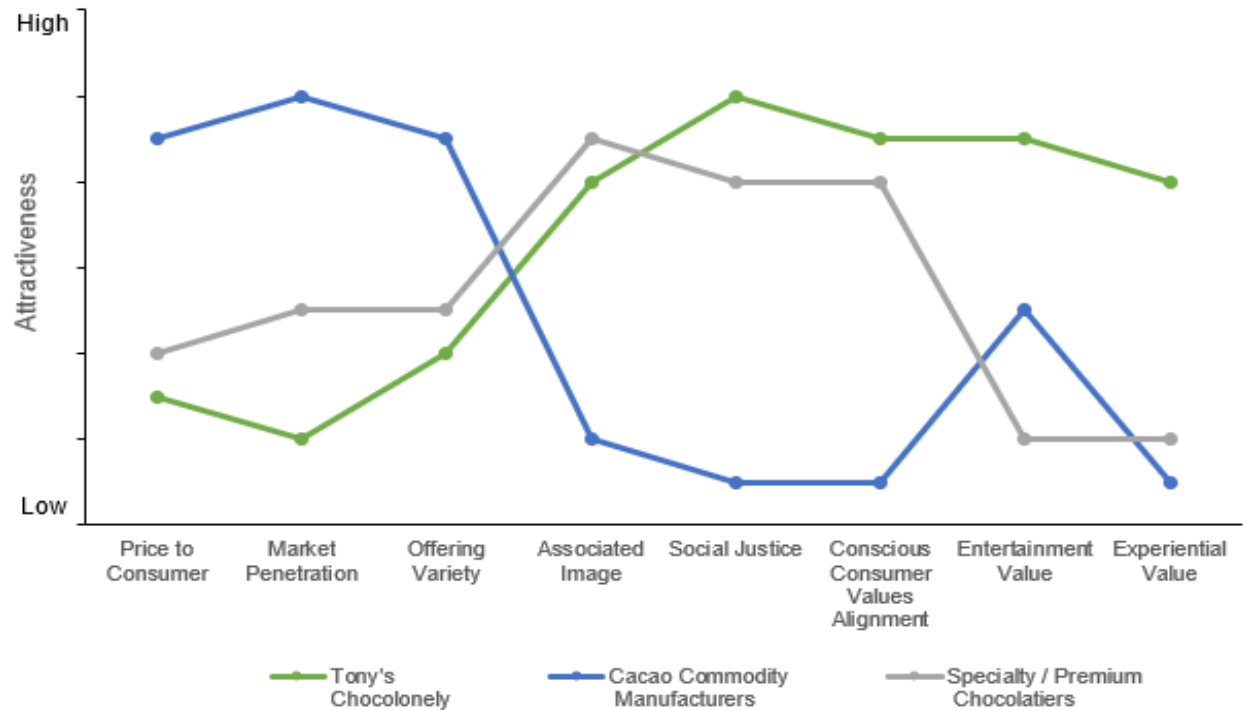


Figure 23: Chocolate manufacturing strategy canvas, highlighting Tony's Chokolonly

Over the last fifteen years, Tony's has been highly successful, delivering strong results in its native Dutch market and rapidly expanding its market footprint across the globe. Additionally, its social impact has grown rapidly, particularly as its revenues increase and it expands its investments in new technologies, sourcing community projects, and global market development. According to a study conducted by True Price, the "true cost" of producing cacao under Tony's sourcing program is approximately half the cost of the industry benchmark, which spans both social and environmental factors (True Price, 2018).

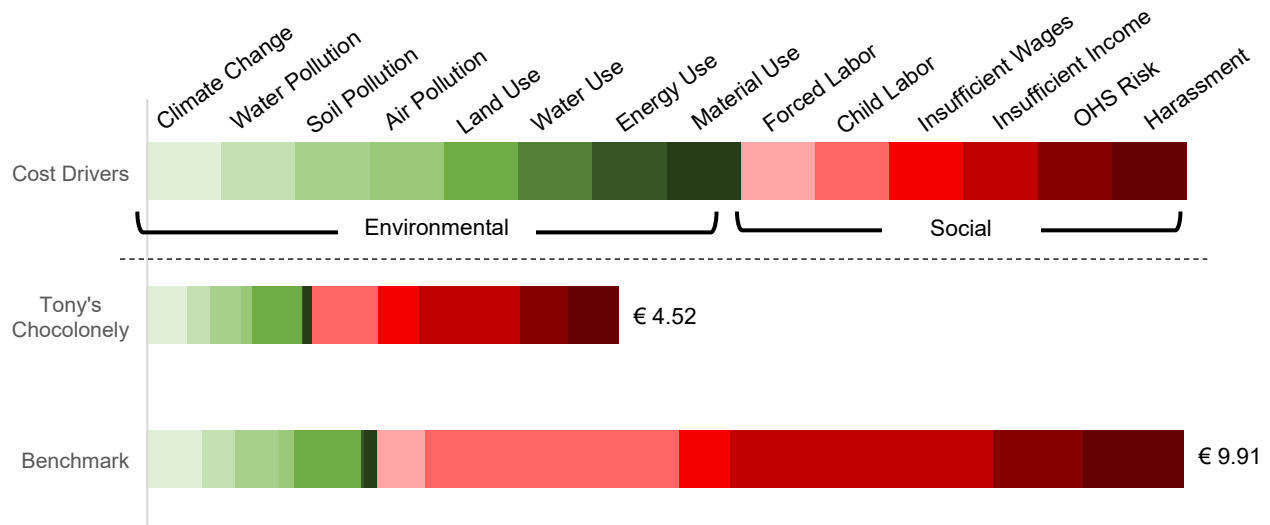


Figure 24: Comparative "true cost" of cacao in 2017, EUR/kg

One of the most unique components of Tony's strategy is its commitment to open sourcing its practices for the purpose of driving systemic change and pressuring other companies to adopt its business model. Like many nonprofits and other organizations primarily driven by their social missions, Tony's exists in order to eventually make itself obsolete. In other words, its resources are highly imitable. One of its key competitive advantages is its devotion to ending child labor and slavery in the industry, so as it becomes more successful in evangelizing its model and more companies uptake its practices, Tony's will likely lose its competitive position. Of course, this social issue is pervasive and complex enough that the likelihood of Tony's accomplishing its mission is slim, at least in the near-term.

However, after a fiscal year that yielded missed profit goals due to overly aggressive spending and expansion efforts, Tony's now occupies a slightly precarious position. To grow sustainably – and deliver on its mission – it must balance its social objectives with its financial performance.

Recommendations to Strengthen Tony's Position and Impact

While Tony's is performing well and creating impact both through its own operations and through its advocacy, there are several pathways through which it can strengthen its position and deepen its impact.

- i. **Deepen environmental sustainability commitments.** 94% of the greenhouse gas emissions in Tony's supply chain occurs at the farm-level, primarily through land use change (deforestation) and application of fertilizer (True Price, 2018). Tony's should take a more active role in curbing the practices that result in large-scale greenhouse gas emissions to preserve the carbon stocks and improve the climate resilience of its sourcing regions.
- ii. **Deploy strategies to tackle social issues in other ingredient supply chains.** Tony's utilizes dozens of ingredients beyond cacao to formulate its products, with milk powder and sugar cane representing the most heavily utilized apart from cacao. Sustainability challenges exist within these industries as well, which require attention and intervention in order to align with Tony's social justice-oriented brand positioning.
- iii. **Strengthen financial position by taking on new investors.** Tony's has experienced financial challenges over the last 1.5 years due to a combination of high spending and missed profit goals. To create a safety net around its ambitions and solvency, Tony's should identify investors whose values align with the company and who are bought into the mission, providing greater fiscal security.
- iv. **Build a larger, more diverse coalition of brand ambassadors.** Tony's strives to cultivate brand ambassadors (known as "choco friends") in new markets, but it often falls short of its goals. Tony's should tap into universities, sports teams, social clubs, religious organizations, and other existing entities to access networks and pipelines of people who are already primed to see the value of the socially conscious products. With this greater exposure derived through social influencers, Tony's may see higher revenues in its newer markets.

Overall, Tony's boasts a unique and compelling value proposition to consumers, selling not only delicious chocolate bars but also drawing them into a social purpose and creating an emotional investment in the livelihoods of the farmers who grew the critical ingredient of their sweet treat. The company's steadfast commitment to its mission through its own operations, its activism, and its transparency presents a new paradigm for social enterprises at large whereby its success is underwritten by its ability to drive change at the systemic level across the industry.

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